Investment Memo – Spark

1. **Header / Recommendation**

Spark New Zealand (NZX: SPK) | Recommendation: BUY | 12-month view
Share price: $2.01 (NZX, October 2026) | Fair value: $2.80 | Implied upside: 39%
Market cap: ~$3.8bn | EV/EBITDAI (FY26 adjusted): 5.5x vs. Telstra/TPG 8.4x
Prepared by Francis Kayembe | 8 November 2026

2. **Investment Thesis**

My recommendation is to buy Spark, with a fair value of $2.80 implying 39% upside over a 12-month view. At $2.01, Spark trades at 5.5x FY26 adjusted EBITDAI. My DCF only matches that price if cash flow grows ~0.5% a year forever (vs. my 2.0%), or if the discount rate is 7.9% (vs. my 6.6%), so the market is pricing in a slow decline. I think that is too pessimistic: Spark has guided FY27 free cash flow of $300–350m, flat to up on FY26's $308m and an ~8.5% yield on the current market cap, alongside stable EBITDAI ($1,010–1,080m vs. $1,035m adjusted in FY26). If the February 2027 interims and August 2027 full-year results confirm that guidance, the cash flow is shown to be stable after the cost and dividend reset, and near-zero growth becomes hard to justify. I'm not arguing Spark deserves Telstra/TPG's 8.4x, only that the gap to the 6.9x my valuation implies is too wide for a business guiding to stable earnings.

3. **Business Snapshot**

Spark is New Zealand's largest telecommunications company where they provide mobile and broadband services. Listed on both the NZX and the ASX, Spark has the largest market share for mobile and broadband in New Zealand. With an operating revenue of $3,637m, $1,517m of that comes from mobile and $596m is from broadband revenue. Spark's mobile line is the only growing line, with the first year of SPK-30 strategy seeing 4.4% overall mobile revenue growth. Adjusted EBITDAI is $1,035m, about a 28% margin and FCF is $308m. The dividend was cut from 25cps to 16cps and the data-centre sale took leverage to 1.7x.

4. **Catalysts**

1. FY27 results: interims (February 2027) and full year (August 2027)

This is the event that directly tests my thesis. If Spark delivers EBITDAI of $1,010–1,080m, FCF of at least $300m and $110–140m of annualised cost savings (up from $101m today), the market can't keep pricing in decline. The interims matter most, because that's when Spark either confirms or narrows guidance.

2. Digital Services strategic review (due by December 2026)

Spark has appointed an external adviser, with the review expected to complete in H1 FY27. Resolving it removes an overhang and could free capital for debt reduction or shareholder returns. It cuts both ways: Spark says there is no certainty of a transaction, terms or value, and my DCF assigns no extra value to a sale.

5. **Valuation Summary**

My unlevered DCF (FCFF), with an FY27–30 explicit forecast and a Gordon Growth terminal value, values Spark at $2.80 per share, implying 39% upside to $2.01. EV of $7,084m, less net debt including leases of $1,781m, plus investments of $165m, less the $152m final dividend, gives equity value of $5,316m across 1,896m shares.

Three inputs drive the result. The forecast is anchored to Spark's guidance: FY27 EBITDAI is set at the $1,045m midpoint, and modelled FY27 FCF of $323m sits inside the $300–350m range once lease costs (~$150m a year) are included, with capex then rising to 11% of revenue. The 6.6% WACC is built from Telstra/TPG betas, which relever to only 0.20, so I add a 2.0% premium

(a judgement call) to lift the cost of equity to 7.7%. Terminal growth of 2.0% is the RBNZ inflation-target midpoint, so Spark grows with inflation and no faster.

Terminal value is about 83% of EV, so the result rests on WACC and growth more than the four-year forecast. Today's price equals my DCF at a 7.9% WACC, close to the post-tax equivalent of Spark's own impairment-testing rate. I use a lower rate because impairment rates are set conservatively, and a business with guided, dividend-backed cash flow should not carry that full margin. That 1.3-point gap is my disagreement with the market. My bad case (7.1% WACC, 1.5% growth) gives $2.19, close to today's price, so the market is already pricing something near my downside.

$2.80 is equivalent to 6.9x FY30 EBITDAI, above Spark's 5.5x today but well below Telstra/TPG's 8.4x. I don't use the 8.4x price as fair value: it implies 2.8% perpetual growth, above my 2.0% base case, so it is a full re-rating scenario rather than a base case.

Exit Multiple	Implied Price	Vs $2.01
5.5x (Spark today)	$2.11	+5%
6.9x (DCF-implied)	$2.80	+39%
8.4x (Telstra/TPG)	$3.39	+69%

WACC / g	1.5%	2.0%	2.5%
6.1%	$2.84	$3.24	$3.75
6.6%	$2.49	**$2.80**	$3.19
7.1%	$2.19	$2.45	$2.76

6. **Risks**

FCF and the dividend. Missing FY27 FCF guidance of at least $300m is the most direct risk. Spark's dividend policy targets 70–100% of FCF (90–100% guided for FY27), so there is little buffer: a 16cps dividend costs ~$303m. If a slower-than-anticipated New Zealand economic recovery reduces business IT spending, FCF falls, and a second dividend cut at the August 2027 result would likely trigger another sell-off. Each $10m of lower EBITDAI is worth about 8c a share; sustained at ~$960m, my value falls to roughly today's price.

Digital Services. Spark expects the shift from private to public cloud to keep pressure on margins (private cloud revenue fell 12% in FY26), and business and government spending remains weak. My model captures the revenue decline but holds cost ratios flat, so it does not reflect margin pressure. A review that ends without a deal, or with a low-value sale, leaves this drag in place.

Discount rate. The market's discount rate may be right. If Spark is riskier than my 6.6% WACC implies, the gap is justified: at 7.1% my value is $2.45, and at 7.6% it is $2.16.

7. **What Would Change My Mind**

Guidance miss: FY27 EBITDAI below $1,010m, or guidance cut at the February 2027 interims.

FCF miss: FY27 free cash flow below $300m, the number my thesis rests on.

Mobile: mobile service revenue back in decline in FY27. With voice and IT/cloud shrinking, mobile has to keep growing.

No re-rating: Spark delivers guidance but the share price is still below ~$2.20 after the August 2027 result. That would mean the market disagrees with me on risk, not cash flow, and another good result won't close the gap.